Answer Key - Economics - K-12 Level Assessment 21 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** D
   Options: A) Lower wages relative to other nations.; B) Lower taxes on corporate profits relative to other nations.; C) A higher interest rate on financial assets relative to other nations.; D) A higher rate of inflation relative to other nations.
   Note: Correct option: D - A higher rate of inflation relative to other nations.

2. **Answer:** A
   Options: A) Demand for white Ford minivans; B) Demand for automobiles; C) Demand for Ford automobiles; D) Demand for American-made automobiles
   Note: Correct option: A - Demand for white Ford minivans

3. **Answer:** D
   Options: A) The cash you receive from babysitting your neighbor's kids; B) The sale of illegal drugs; C) The sale of cucumbers to a pickle manufacturer; D) The sale of a pound of tomatoes at a supermarket
   Note: Correct option: D - The sale of a pound of tomatoes at a supermarket

4. **Answer:** C
   Options: A) Increasing the discount rate; B) Increasing the reserve ratio; C) Buying government securities; D) Lowering tariffs
   Note: Correct option: C - Buying government securities

5. **Answer:** A
   Options: A) the value of the dollar will tend to appreciate.; B) the value of the dollar will tend to depreciate.; C) exchange rates will be affected but not the value of the dollar.; D) the exchange rate will not be affected.
   Note: Correct option: A - the value of the dollar will tend to appreciate.

True / False

6. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'All of the above.'.

7. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'private ownership of economic resources.'.

8. **Answer:** False
   Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: ’Higher taxes Buying Treasury securities’.

9. **Answer:** True
   Options: A) True; B) False
   Note: LLM-generated true statement based on MCQ.

10. **Answer:** False
    Options: A) True; B) False
    Note: LLM-generated false statement. Correct answer: ’P < MC.’.

Long Form Response

11. **Answer:** More investment in capital infrastructure and less consumption of non-durable goods and services. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
    Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The GDP deflator. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
    Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key